lakh crore in cumulative debt and depleting revenue sources. His cup of woes does not end there. In the next two months, the Centre's commitment to compensate for GST revenue shortfalls ends. This had provided almost Rs 15,000 crore to the state in the past five years. Punjab also has yet to implement the recommendations of the 7th Pay Commission. The state already has committed expenditure of over Rs 40,000 crore in salaries and pensions. Implementing the commission's recommendations will require another Rs 5,000 crore. Meanwhile, Mann's cabinet has cleared the decks to fill 25,000 vacancies this fiscal.

Political opponents are already up in arms against Mann's decision to put riders in the 'free power' story. Social media foot soldiers of both the BJP and Congress are going to town about Arvind Kejriwal and Mann reneging on pre-poll commitments, the hope being that it will create doubt among possible AAP voters in other states.

Last month, the new CM had met Prime Minister Narendra Modi and asked for special assistance of Rs 50,000 crore for two years. The Centre hasn't even responded to the demand. Anyway, it's almost impossible to give such a special package to a particular state. At best, the central government can assist with capital expenditure to execute infrastructure projects.

Mann is already blaming the previous regimes for the fiscal mess and has ordered an inquiry into how the state is left with almost Rs 3 lakh crore in debt. He has also threatened "recovery proceedings" if any wrongdoing is found, but it will still not solve the funds crisis at hand. Punjab had made commitments to the 15th Finance Commission (in 2019-20 during Amarinder Singh's tenure) to reform the electricity distribution system when it took the revenue deficit grant (RDG) for the period 2020-21 to 2025-26. The commission had recommended a 'post-devolution revenue deficit grant' of Rs 86,201 crore to 14 states, including for FY23.

As per the national tariff policy, Mann can neither cross-subsidise the free power nor can the state stress the distributor's balance sheet. This means he will have to pay the subsidies upfront to pass on the benefits. By deferring the implementation to July 1, Mann may have bought time to source the funds and also allow the kharif sowing season to proceed apace.

The AAP government has two workable options—cut down capital expenditure (around Rs 65,000 crore) or rework the free electricity supply to the farms. Punjab spends Rs 7,180 crore to provide free electricity to farms for irrigation. The state has 1.1 million land-owning farmers who operate around 1.1 million tubewells. Officials say roughly 370,000 of these are small/ marginal farmers, and almost the same number medium-size. The state has 310,000 farmers with 10-25-acre holdings and another 60,000 have over 25 acres. Officials have recommended that Mann charge the large farmers. In fact, economist Montek Singh Ahluwalia, in his expenditure reforms recommendations to the Punjab government (post-Covid scenarios), highlighted that around 56 per cent of the power subsidy goes to farmers who own more than 10 acres. In 2018, the Punjab state farmers' and farm workers' commission, too, had recommended the same.

But it's a political hornet's nest that could put the elite Jat Sikhs on the warpath. It's also quite complex to implement since most farms in Punjab either do not have electricity meters, or have outdated ones. The state has been providing free electricity since 1997, so neither the discoms nor the farmers have bothered to upgrade the system. There are even connections that allow irrigation facilities to multiple farms.

The Centre has been urging states to take up power reforms to cut down supply losses. It will be difficult to implement in Punjab, though. This time, the Jat Sikhs had moved en masse to AAP; and free electricity is a sensitive issue for the community. Mann has been claiming that his government doesn't intend to cut free power for farmers. Charging the big farmers for the same might sound politically correct, but will need serious political muscle to power through. ■

300 units
of free power a month from Jul. 1

₹10,668 cr.
Power subsidy bill for 2020-21

₹2.82 lakh cr.
Punjab's cumulative debt



IS IT AFFORDABLE?
Punjab spends Rs 7,180 crore to provide free electricity to irrigate farms

PRABHJOT GILL

Short of funds, Mann has two workable options—cut down capital expenditure or rejig the free electricity supply to the farms